



GROWING TOGETHER



Investor Presentation

October 2011

Safe Harbor



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Management



Off-highway tyre Solutions

Siyaram - Poddar Group

Flagship Company of
the Group



Group Revenue
INR 3,572 Crs



Balkrishna Industries

INR 2,211 Crs

Off-Highway
Tires

Paper &
Textile Processing

Siyaram Silk

INR 1,012 Crs

Textiles

Garments

Govind Rubber

INR 349 Crs

Bicycle
Tires

* FY2011 Revenue

Balkrishna Industries...

- ◉ India's leading exporter of "Off-Highway Tires"
- ◉ Widest and comprehensive product portfolio of over 1900 SKUs
- ◉ 144,000 MTPA current achievable production capacity
- ◉ Market presence in more than 120 countries
 - Europe, America, Asia Pacific, Middle-East, ANZ etc
- ◉ Exponential Revenue & Earning growth

Under the able leadership of ...

Mr. Arvind Poddar - Vice Chairman & Managing Director

- Promoter of the Company
- In last 5 years, Company grew exponentially with around 30% CAGR
- Fuelling growth : Capacity creation of over 60% underway
- Moving towards USD 1 billion revenue by 2015

The Core Team Executing the Vision

Mr. Anurag Poddar

Executive Director

Mr. B K Bansal

Director - Finance

Mr. Rajiv Poddar

Executive Director

Mr. D M Vaidya

Director - Technical

Mr. M S Bajaj

Sr. V P - Commercial

Consistently growing in all areas of business

	Parameter	FY06	FY11
Finance*	Revenue (Rs. Crs)	620	2,211
	Net Profit (Rs. Crs)	69	195
	Net Worth (Rs. Crs)	288	861
Production	No. of plants	2	3
	Achievable Production Capacity (MT)	48,750	1,26,000
	Production (MT)	42,500	111,545
Marketing	Markets being Serviced	75	120
	No. of Distributors	~ 120	> 200
	No. of Sales Office	1	4

* Consolidated

Global Markets - Local Production

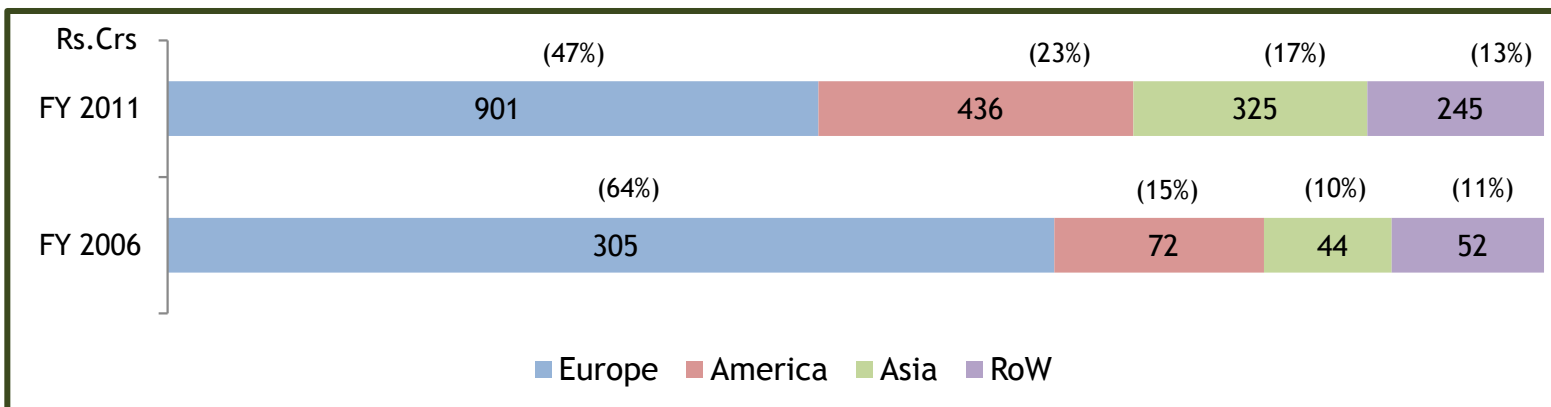


Off-highway tyre Solutions

Presence in over 120 countries...

Demand drivers in Key Continents

Europe	Americas	Asia Pacific
- Large & Mechanized farms - Large replacement market	- Agriculture & Mining sector growing - Large Farm-Equipments trends - Fast growing economies such as Brazil, Argentina, Colombia, Costa Rica etc	- Agriculture & Infrastructure booming - Moving from traditional to larger sized equipments



Expanding by higher penetration & geographical diversification

With various “Off-Highway Tires (OHT)”...

Agriculture (66%)



- Tires for Tractors, Trailers, Farm Equipment, Forestry
- Specifically designed as per farm requirement
- Tractor Radial Tires under brand “Agrimax”

OTR (29%)



- Industrial, Construction & Earth Mover tires
- Tires for articulate dump trucks, loaders, underground mines, port application
- Steel Radial OTR tire under brand “Earthmax”

Others (5%)

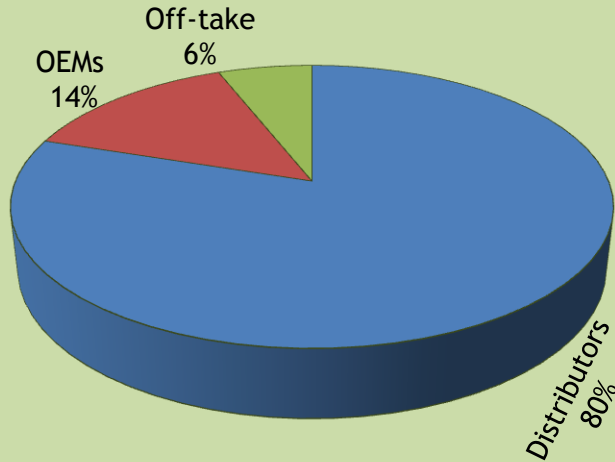


- Tires for Sports, Utility vehicles such as Golf-cart, Lawn & Garden tires
- Tires for All Terrain Vehicles (ATV) with puncture resistance

One Stop -Shop for all off highway tires solution

Through various sales channels

94% Sales under 'BKT' brand



Distributors

- ◉ Caters Replacement Market
- ◉ Strong Global Network
 - Over 200 Distributors in 120 countries
- ◉ Expanding market reach by
 - Increasing penetration of existing distributors
 - Adding new distributors

OEMs

- ◉ Supplier to leading OEMs such as,

▪ Volvo	▪ BOMAG
▪ John Deere	▪ SAME
▪ CNH	▪ Ferrari
▪ Class	▪ JCB

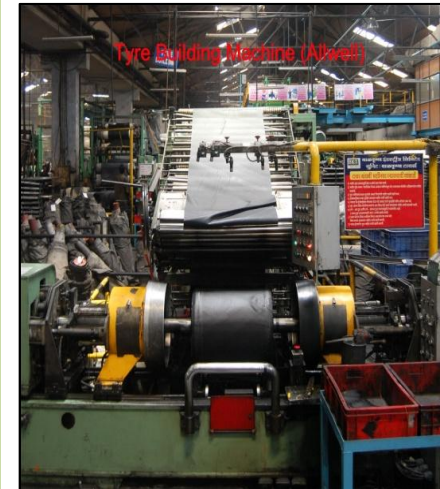
Off-Take

- ◉ Supplier to leading Global Tire manufacturers - labeled under their brand
 - Reaffirms Global Quality Standards

Replacement Market lends stability in turbulent times

Existing manufacturing facilities...

- ◉ **State of the art tire manufacturing plants at**
 - Bhiwadi & Chopanki in Rajasthan
 - Aurangabad, Maharashtra
 - In-house Mould Plant, Dombivali, Maharashtra
- ◉ **Achievable Production Capacity at 144,000 MTPA**
 - Wide product range of over 1900 SKUs
 - Frequent change over in production cycle
 - Large Variety - low volume restricts optimal capacity utilization
- ◉ **Upgradation & Debottlenecking completed across all plants**
 - Achievable Production Capacity reached to 144,000 MTPA
 - Enhance capacity of premium products like Agri & OTR Radial
 - Capex of Rs. 55 crs incurred; Funded from Internal accruals
- ◉ **Other Infrastructure Developments**
 - Modernization of Mould facility and Capacity expansion at Dombivali & New warehouses at Bhiwandi and Chopanki
 - Capex of Rs. 60 Crs; Funded from Internal accruals
 - Other infrastructure like rubber mixing unit still in progress



Nearing Optimum Utilizationneed for further capacity creation

90,000 MT Greenfield expansion underway

- ◉ Greenfield Expansion of 90,000 MTPA of achievable production capacity
- ◉ Location: Bhuj, Gujarat
- ◉ Total estimated Capital Outlay of USD 275 mn

Year	Capex Estimated
FY 2012	USD 155 mn
FY 2013	USD 95 mn

* Spent till Sep 2011 : USD 65 mn

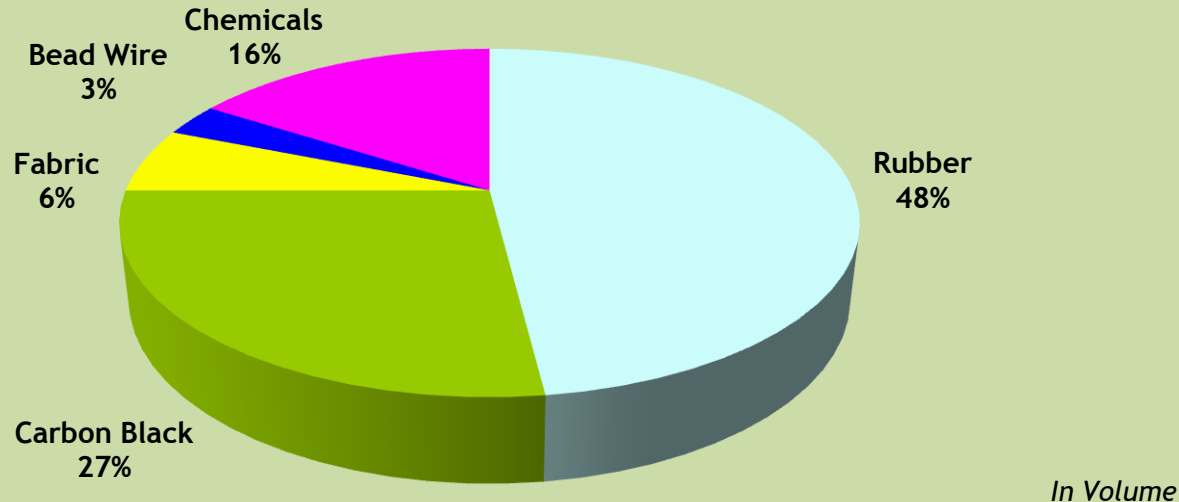
- ◉ **Funding: Debt & Internal Accruals**
 - ECBs of USD 175 Mn
- ◉ **Status of Project**
 - Civil and infrastructure work progressing as per schedule
 - Orders placed for major equipments
 - Certain equipments under installation
- ◉ **Project Completion expected by Q2FY13**



Post expansion - Achievable Production Capacity of ~234,000 MTPA

Key Raw materials

Raw material composition



- **Rubber sourced from**
 - India, Indonesia, Malaysia & Thailand - Major Rubber Producing countries
- **Closer to Rubber producing countries gives edge over global peers**
 - Lower logistic expenses
- **Flexibility in sourcing from India or Import**
 - No impact of Import Duty being major exporter
- **Other materials - Synthetic Rubber, Carbon Black, Fabric & Chemicals**
 - Derivatives of Crude Oil

Key Competitive Advantages



Off-highway tyre Solutions

Key Competitive Advantages

Low Operating Cost ... v/s ... Global Peers

- Labor intensive business, however India manufacturing leads to 1/5th labor cost compared to global peers
- Lower selling & distributing expenses due to sales by **distributor network**

Faster Mind to Market Product Roll-out

- Strong R&D Team for product development
- In-house mould facility leads to faster conversion

Flexible Plant Operation

- Maximize utilization of entire basket of 1900 SKUs
- Ensures timely execution of customer's order

Inter- Changeability of production amongst various plants

- Helps production planning to achieve optimum output
- Facilitates container dispatch of varied tires

The Radial Advantage

- Largest manufacturer of full range of Radial Tractor Tires located in a low-cost region
- Globally few manufacturers with concentration in USA & Europe
- Addition of capacity makes it a preferred global partner for radial tires

Growth Strategies



Off-highway tyre Solutions

Sales strategy to back capacity creation

A

Increase penetration in current markets

- Increasing coverage through current distributors
- Appointment of new distributors to cater all segments

B

Increase exposure with OEMs

- Developing newer products for OEMs
- Expanding the OEMs base

C

Development of new emerging markets viz. Russia & CIS

- Demand drivers are stable economy growth & major infrastructure developments in highway, ports, mining sector
- Establishing distributor network

D

Enhancing Product Portfolio

- All Steel Radial Mining Tires
- Agri-Radial Tires
- Special Puncture-Proof Defense Tires

India business opportunity unfolding ...

- ◉ **Presently, ~ 9% of Revenue from India**
 - Mainly from OTR Segment
 - Tie-up with OEMs like JCB, Escorts, L&T Case, SDF, John Deere, CNH
- ◉ **Investment in Indian Infrastructure growing rapidly**
 - Earthmoving & Construction equipment (ECE) industry to grow five fold from USD 2.3 billion to USD 12 - 13 billion by 2015
- ◉ **Agriculture Sector in India witnessing transformation**
 - India moving towards mechanized farming which improves productivity
- ◉ **Well positioned to capture growing India market**
 - Tying-up with new OEMs
 - Establishing distribution network

Financial Highlights



Standalone - Tire Business : Financial Highlights - H1 FY2012



Rs.Crs	H1 FY12	H1 FY11	YoY %	FY11
Revenue	1,263	933	35%	2,012
Raw Material	796	566		1213
Employee Expenses	34	25		55
Other Expenses	202	160		375
EBITDA	231	182	27%	369
<i>EBITDA Margin</i>	18.30%	19.50%		18.36%
Exchange (Gain)/Loss	6	(3)		1
Interest	7	7		21*
Depreciation	40	36		74
PBT	177	142		275
Tax	57	47		89
PAT	120	95	19%	186
<i>PAT Margin</i>	9.50%	10.20%		9.23%

* Includes Rs.8 Cr Redemption Premium on FCCB

Standalone - Tire Business : Balance Sheet - H1 FY2012

Rs. Crs	30-Sep-11	31-Mar-11
Net Worth	951	832
Long Term Debt *	888	34
Working Capital	657	573
Deferred Tax Liabilities	56	57
Total Liabilities	2,553	1,496
Net Assets (including CWIP)	1,068	687
Investment	32	32
Current Assets		
Inventory	370	410
Receivables	416	325
Cash & Bank Balance	683	11
Loans & Advances	618	486
Current Liabilities		
Creditors	230	239
Others	404	362
Net Current Assets	1,451	630
Total Assets	2,553	1,496

* ECB loan of Rs. 886 Crs. (USD 175 mn) drawn in Q1FY12 to finance the Capex at Bhuj
 - Interest cost and Gain/Loss on Foreign exchange fluctuation on ECB is being capitalized

Annual Financial Highlights : Tire Business

Profitability	Rs. Crs.	FY 2007	FY 2008	FY 2009	FY 2010	FY 2011
	Revenue	749	1,006	1,257	1,413	2,012
	YoY Growth	46%	34%	25%	12%	42%
	EBITDA	176	232	202	396	369
	EBITDA Margin	23.5%	23.1%	16.1%	28.0%	18.3%

- Continuous Revenue Growth despite global credit crisis
- Margin declined mainly due to
 - Sudden & Exponential price hike in input costs
 - Forex impact

- Exceptional year for higher earning margins mainly due to
 - Reversal in input costs

Guidance for FY 2012 : Sales of Tires ~ 130,000 - 135,000 MT

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